

Summary Update - Processes & Procedures as of 6/4/26

Delivered by Pat Moore, CFO

The attached summary chart shows activities in progress for FY2024, FY2024 and the FY2026 fiscal year clean up and audit preparation.

As reported previously, bank statements for 2023, 2024 and 2025 have been completed. The bank statements for FY26, at this time, are still on track for mid-June (2026) completion.

Once the FY26 reconciliations are current, the monthly processing will be fully implemented. The goal of the finance department is to have all reconciliations current by the end of June and starting July 1, 2026, will be the full roll-out of the required monthly reconciliation process(es). Outside of any large changes, we are on track to achieve this goal.

With the District being self-insured an annual Form 509A needs to be filed with the Iowa Insurance Division. The 2024 509A form has been filed via the online portal, state verified receiving and late penalties were waived. The 2025 509A Form was submitted to the actuary for final report (done 6/3/26) and we are waiting for a response.

Audits

FY2024 audit fieldwork was finished on Friday, April 17th. Bohnsack and Frommelt, LLC were on site May 16th to discuss and deliver the preliminary report. After reviewing, a cumulative document with questions/concerns/edits was sent back to the auditors. The District should receive a response early the week of June 8th when both audit partners are back in the office. In addition to the summative document sent, the District also inquired on moving the audit presentation to the June 23, 2026 (versus July) Board meeting which would correspond to the final report presented by Kim Michael-Lee. Once confirmation is received, the Board will be apprised of the final Board meeting date for the audit presentation.

The FY2025 audit is scheduled for the beginning of August 2026 to begin fieldwork. Completion of any outstanding schedules and statements will be prepared before the fieldwork begins. Auditors can start testing cash as bank reconciliations are completed and internal control testing can begin prior to their onsite arrival in August. FY2025 audit is anticipated to be completed by the end of October and the final report presented to the Board in November 2026.

Matt Degner – Superintendent of Schools

Financial Statements

Work is currently underway for financial statement(s) and the format to be used. Please know the initial reporting will not look the same as we go along. I will continue to update the format and the presentation until the format is easily understandable and also meets the standards of what the Board would like to see on a monthly/quarterly/annual basis.

Grant Reports

As stated in prior summary reports, grant reporting has been updated to include the new grant awards received and all reporting is up-to-date. Moving forward, the grant report and control schedule will be rolled into the month-end closing schedule and audit processes.

Monthly Close Schedule

Reporting and reconciliations will continue to improve once all accounts are current and can be reconciled on a monthly basis. As mentioned above, the goal (still on track) is to start FY27 with full implementation of the monthly close process(es).

Policies & Procedures

Credit card processing is currently at BMO. The district met with JP Morgan Chase representatives about their credit card offering. Their system would provide additional enhancements and smoother processing (internally). However, the BMO system is through Illinois ASBO (Association of School Business Officials) which provides a sizable annual report for credit card usage which would need to be factored into the equation before a change is made.

Account Codes & Structures

As I continue to get up-to-speed in the finance software, we will be reviewing account codes and account structure. I believe there are efficiencies that can be reached by a few simple changes, as well as further transparency. I will be working on a document that will discuss account codes (ex: what is a supply vs equipment, what is a purchased service or how to code revenue for a fundraiser, a donation, gate admissions, or general student income). How account codes are used impact all aspects of financial reporting - which relates to high importance.

Matt Degner – Superintendent of Schools